Third Quarter Operations Report

This report covers the third quarter for a small household goods company. All figures are invented for a test document.

Sales

Orders rose 12 percent from the second quarter, to 4,800 orders. Most of the increase came from the new refill subscription, which reached 900 active customers by the end of the quarter. Revenue per order stayed flat at 38 dollars.

Delivery

Average delivery time fell from five days to four days after the second warehouse opened in July. Late deliveries dropped to 3 percent of orders. Return shipments stayed at 2 percent.

Costs

Packaging costs rose 8 percent because of a supplier price change. Warehouse rent added 30,000 dollars for the quarter. Operating margin fell by one point, to 11 percent.

Next Quarter

The team will renegotiate the packaging contract in October and will add weekend delivery in November. The target for the fourth quarter is 5,500 orders with a margin of 12 percent.

Conclusion

Demand and delivery both improved this quarter, and the main risk for the next quarter is packaging cost.